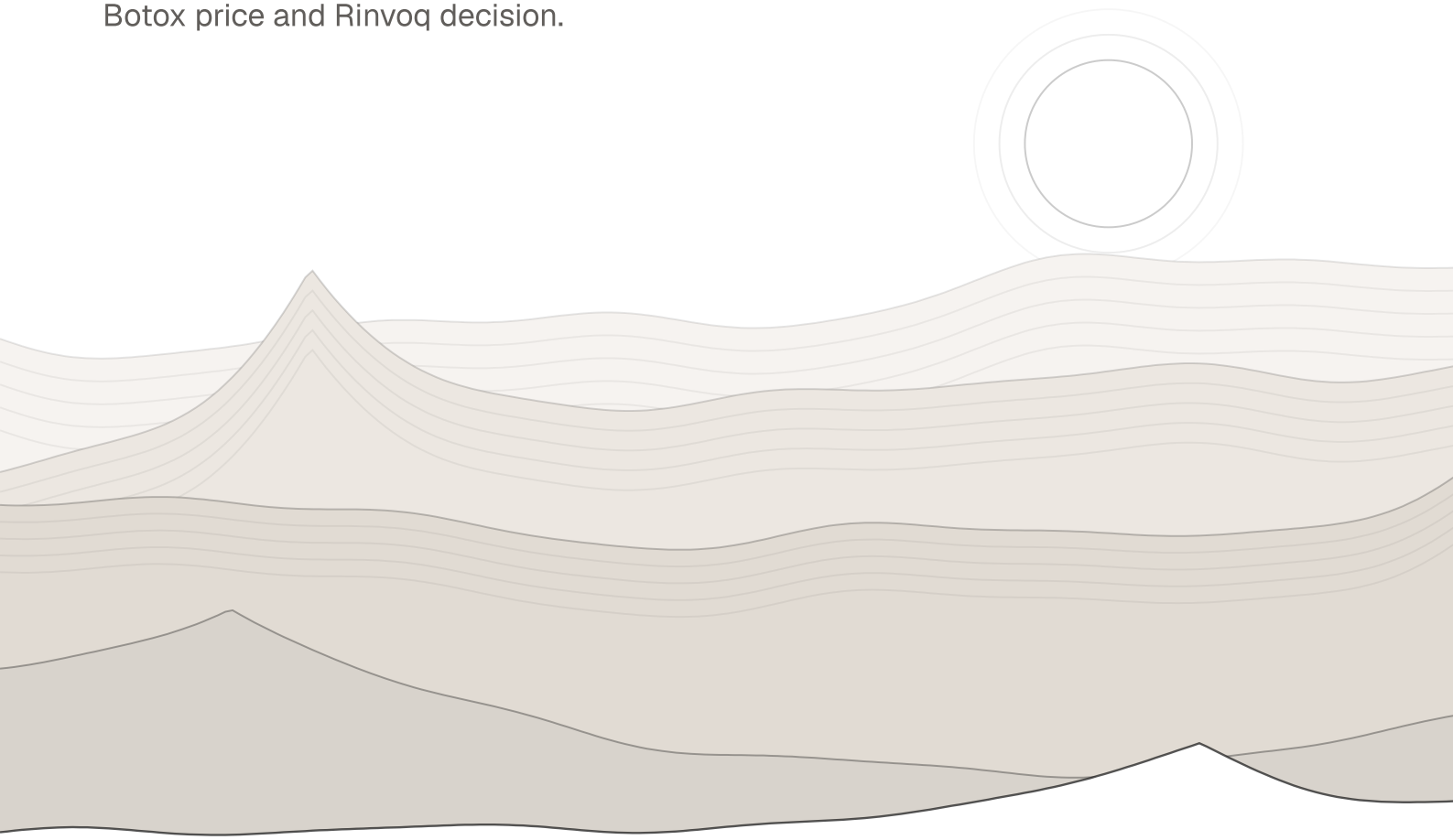
Matterhorn Capital Management

AMC 2026 · ROUND 2 · GROUP 3

Tactical Deviation

We add three US stocks to our SAA, NVIDIA, PepsiCo and AbbVie, each priced below its dividend discount value. Treynor-Black, capped at a 3% tracking error, puts 22% of the fund in them. The catalysts: NVIDIA's results on 17 November, PepsiCo's supply-chain update, and AbbVie's Botox price and Rinvoq decision.



NAV · 06.11.26	TRACKING-ERROR BUDGET	PUBLISHED
USD 98.1M	2–5%	07.11.26

Round 1: the results

The Round 1 portfolio from the close of Friday 16 October 2026, when it was entered in Bloomberg, to the close of 6 November 2026: 15 trading days. Prices are closes, and dividends are reinvested in the ETF that pays them at the ex-date close, as in Bloomberg PRTU.

RETURN	REALISED VOLATILITY	SHARPE RATIO	MAXIMUM DRAWDOWN
−1.90%	**—**	**—**	**−2.12%**
USD 100.0M → 98.1M	Needs 20 daily returns · 15 so far	Needs 20 daily returns	28.10.26 → 05.11.26

FIGURE 1 · NAV OF THE FUND, INDEX 16 OCTOBER = 100



TABLE 1 · PERFORMANCE AND RISK OF THE ROUND 1 PORTFOLIO

	ROUND 1 PORTFOLIO	AT THE START · ROUND 1 REPORT
Period	16.10.26-06.11.26	Ex ante, 16.10.26
Trading days	15	—
Return, cumulative	-1.90%	—
Volatility, realised, annualised	—	Target 8% · band 7-9%
Ex-ante volatility	8.44%	8.13%
Sharpe Ratio	—	—
Maximum drawdown	-2.12%	—
1-month 5% VaR	4.01% · USD 3,930,901	3.86% · USD 3,861,174

Realised volatility and the Sharpe Ratio (on returns in excess of the 1-month T-bill) are computed from daily returns once there are 20, the rule of our website; with 15 so far they are not reported. Ex-ante volatility = $\sqrt{(w'Vw)}$ on the current weights and the last 60 complete months (Nov 2021 – Oct 2026); VaR = 1.645 × σ / $\sqrt{12}$, as in Round 1.

1.1 · RETURN AND RISK AGAINST THE TARGET

The portfolio lost 1.90% in 15 trading days, driven by equities and commodities, with a drawdown of 2.12% from 28 October to 5 November. Over these 15 daily returns, fewer than our 20-day rule, realised volatility annualises to 8.0%: on the 8% target and below the ex-ante 8.44%. The Sharpe Ratio is negative, over too short a period to mean much.

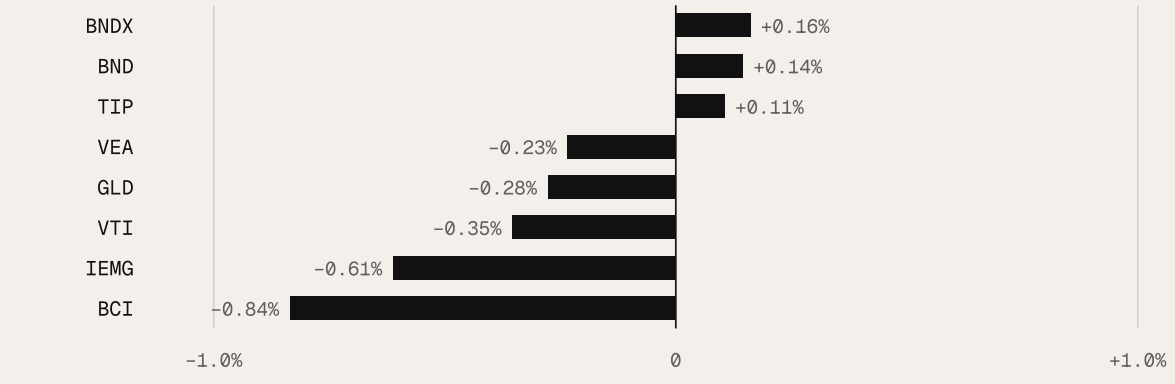
Positions and attribution

TABLE 2 · POSITIONS AND CONTRIBUTION TO THE RETURN

ETF	SHARES	PRICE 16.10	PRICE 06.11	WEIGHT, START	WEIGHT, NOW	RETURN	CONTRIBUTION	RISK CONTR.
EQUITY · 31.38% → 30.77% OF THE NAV · CONTRIBUTION −1.20%								
VTI	29,149	374.07	361.93	10.90%	10.75%	−3.25%	−0.35%	15.8%
VEA	147,369	69.49	67.90	10.24%	10.20%	−2.29%	−0.23%	18.1%
IEMG	133,320	76.79	72.20	10.24%	9.81%	−5.98%	−0.61%	17.4%
BONDS · 45.07% → 46.37% OF THE NAV · CONTRIBUTION +0.41%								
BND	188,225	70.82	71.59	13.33%	13.74%	+1.09%	+0.14%	8.3%
BNDX	349,731	47.13	47.59	16.48%	16.97%	+0.98%	+0.16%	7.9%
TIP	144,602	105.54	106.27	15.26%	15.66%	+0.69%	+0.11%	9.2%
REAL ASSETS · 23.54% → 22.87% OF THE NAV · CONTRIBUTION −1.11%								
GLD	29,177	382.01	372.52	11.15%	11.08%	−2.48%	−0.28%	14.5%
BCI	469,258	26.42	24.64	12.40%	11.79%	−6.74%	−0.84%	8.8%
BIL	0	91.57	91.46	0.00%	0.00%	—	0.00%	0.0%
Cash (USD 5.22)				0.00%	0.00%	—	0.00%	0.0%
Total				**100.00%**	**100.00%**	**−1.90%**	**−1.90%**	**100.0%**

Return of each position with dividends reinvested. Contribution = change in the value of the position / NAV at the start: the contributions add up to the return of the portfolio. Risk contribution: share of the ex-ante variance, current weights. BIL, the cash leg, holds no shares (Round 1, section 09).

FIGURE 2 · CONTRIBUTION TO THE RETURN, BY POSITION



1.2 · WHICH POSITIONS ARE BEHIND THE GAINS AND THE LOSSES

Equities (−1.20 points) and real assets (−1.11) explain the loss; bonds added 0.41 point. The largest detractors were commodities (BCI, −6.7%, −0.84 point) and emerging markets (IEMG, −6.0%, −0.61 point), then US equities (VTI, −0.35) and gold (GLD, −0.28). The three bond ETFs each gained about 1% and offset almost a fifth of the losses, the diversification the SAA was built for.

NVIDIA NVDA

NasdaqGS · Technology · Semiconductors · USD · Price date 06.11.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
203.86	186.64	+9.2%	+10.3%	4,506.8bn	1.2%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 0.23	USD	DO USD 2.16

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The two-stage DDM gives USD 203.86, against a price of USD 186.64, 23% below the 52-week high. The market prices a slowdown in AI spending, yet Q2 revenue doubled to USD 96.2bn and the company guides USD 108bn for Q3, without China [1]. At 11.7x forward earnings, against 20.6x for peers, the leader trades below the group.

MARGIN OF SAFETY AND ALPHA

Margin of safety +9.2%, alpha +10.3% a year (IR 0.23), assuming the gap closes within one year.

CATALYST

Q3 FY2027 results and Q4 guidance · `17 Nov (company)`. Set by the company for 17 Nov, after the close [2]; the quarter ended on 25 Oct. A quarter at or above the USD 108bn guide, with Rubin in full production [1], would show that demand is not slowing and move the price towards fair value.

DECISION

Long candidate. We buy, although the margin of +9% is below our 25% rule: the comparables (USD 254.31) and analysts (USD 327.14) see more, and a dated report can close the gap. Its high residual risk keeps the Treynor-Black weight small.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

NVIDIA returns cash mostly through buybacks: USD 39.0bn in the first half against USD 6.3bn of dividends [1]. So we discount dividends plus buybacks (cheat sheet p. 2). Two stages, because growth is far above what any company can keep forever: 40.0% for 8 years, then 3.0%.

METHODS THAT DO NOT FIT

Gordon alone gives USD 24.98: one rate cannot fit a company growing this fast. P/B (19.68x) says little, as its value is in chip designs and software, not on the balance sheet. Peers are smaller and differently built, so the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 186.64	Close 06.11.26, not adjusted
D_0, dividend	USD 2.16	Dividends, 12 months + last FY buybacks per share
β	1.58	Bloomberg BETA
r_f, 10-year yield	4.84%	FRED DGS10, 05.11.26
ERP	4.46%	Damodaran, United States, 5 Jan 2026
$k = r_f + \beta$ ERP	11.89%	CAPM
g_1, first stage	40.0%	Bloomberg, long-term EPS growth (LTG)
T, years	8	Years of above-trend AI demand; ours
g_2, terminal	3.0%	Long-run nominal growth of the economy; ours
Gordon value	USD 24.98	–87% vs price
Two-stage value	**USD 203.86**	**+9% vs price; 74% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
10.89%	216.26	226.61	238.28	251.52	266.68
11.39%	200.99	209.95	219.98	231.28	244.12
11.89%	187.37	195.17	**203.86**	213.58	224.53
12.39%	175.15	181.99	189.56	197.97	207.40
12.89%	164.15	170.17	176.79	184.13	192.29
Upside	+0%	+5%	+9%	+14%	+20%

Two-stage DDM value, USD. Shaded: at or above the price of 186.64. Dark: base case. Upside at the base k.

The DDM stays above the price in 19 of 25 cases. It falls to the price if k rises by about 0.6 point or g2 falls by 1 point: the margin is thin, and the value rests on the long growth phase.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

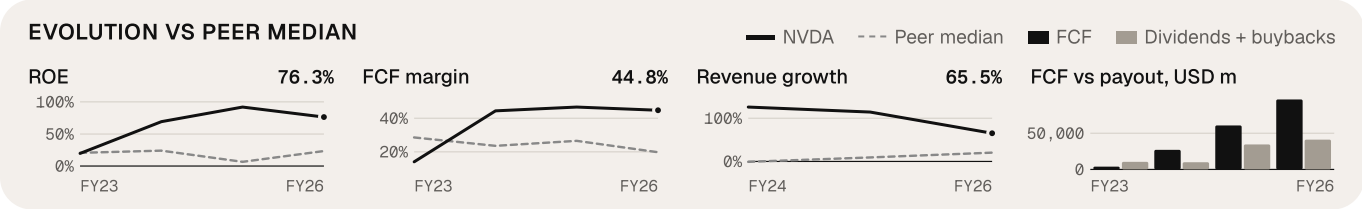
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
AVGO Broadcom	1,402.0	15.1x	52.1x	27.5x
AMD Advanced Micro Devices	736.5	25.5x	n/m	65.5x
QCOM QUALCOMM	177.0	13.2x	20.5x	17.4x
MRVL Marvell Technology	127.0	19.2x	91.3x	43.9x
TXN Texas Instruments	253.6	24.0x	97.4x	24.2x
ADI Analog Devices	176.2	22.0x	41.2x	26.4x
Peer average		19.8x	60.5x	34.2x
Peer median		20.6x	52.1x	27.0x
NVDA NVIDIA	**4,506.8**	**11.7x**	**46.6x**	**22.2x**
Implied price at peer average		315.70	242.15	286.08
Implied price at peer median		328.24	208.55	226.14

Comps value USD 254.31 (+36%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY26	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND
Profitability	ROE	76.3%	23.6%	60.3%	better	improving
Profitability	ROA	58.1%	12.7%	40.4%	better	improving
Profitability	FCF margin	44.8%	19.8%	35.0%	better	improving
Growth	Revenue growth	65.5%	20.4%	120.0%	better	worsening
Growth	Gross margin	71.1%	55.1%	68.2%	better	improving
Safety	Debt / equity	0.07	0.42	0.31	better	improving
Payout	Payout / FCF	0.42	1.15	1.23	better	improving

Earnings test: adjusted EPS 4.77 (FY26) → 9.31 → 15.91 (forward): rising. Trailing GAAP EPS of 7.91 includes one-off items.



PASS **No red flags, earnings rising: pass.** No red flag: returns, margins and FCF beat the peers and keep improving, and debt is almost nil. Revenue growth slows from a very high base, still far above peers. Capital goes back to shareholders, with USD 99bn of buybacks still authorised [1]. **Not a value trap.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+10.3%	0.23
Gap never closes	α never = $D_1 / P_0 + g - k$	−7.7%	−0.17
Used: closes in 1 year	**Goes into Treynor-Black**	**+10.3%**	**0.23**

The Q3 results of 17 Nov [2] fall inside the window, so we assume the gap closes within a year (α closed). The comparables give USD 254.31, so the DDM is the cautious value. IR 0.23, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

MAIN RISK: AI SPENDING AND THE INPUTS

Revenue rests on the capex of a few cloud and AI customers: a cut would hit growth fast, and China is out of the guide [1]. g1 is per-share growth and the payout includes buybacks, so they count twice: the DDM is an upper bound on these inputs.

UPSIDE: SUSTAINABLE GROWTH AND MANAGEMENT

The quarterly dividend is now USD 0.25 [1], but D0 counts the last 12 months, so the DDM understates it. At β = 1 the DDM gives USD 316.68, and analysts' target is USD 327.14. Founder-CEO Jensen Huang has led it since 1993; no activist route at this size.

[1] NVIDIA, Q2 FY2027 results, 26 Aug 2026. [2] NVIDIA, Q3 FY2027 conference call, 28 Oct 2026. Market data: Yahoo Finance and FRED, downloaded 07.11.26.

PepsiCo PEP

NasdaqGS · Consumer Defensive · Beverages - Non-Alcoholic · USD · Price date 06.11.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
185.72	141.34	+31.4%	+33.5%	192.6bn	4.6%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 2.18	USD	DO USD 6.53

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The Gordon model gives USD 185.72, against a price of USD 141.34. At a cost of equity of 6.62%, the price implies only 1.9% growth forever, below the 3.1% organic revenue growth of Q3 [1]. The market has priced the cut in 2026 EPS guidance [1], not the cost programme agreed with Elliott, which targets at least 1 point of margin by 2028 [2].

MARGIN OF SAFETY AND ALPHA

Margin of safety +31.4%, alpha +33.5% a year (IR 2.18), assuming the gap closes within one year.

CATALYST

Update on the North America supply chain and go-to-market · `Late 2026 (company)`. Promised to analysts and investors for late 2026 in the agreement with Elliott [2]; no date set yet. Figures on an integrated food and drinks network and its savings would make the margin target concrete.

New structural cost actions · `Coming months (company)`. Announced with Q3: actions are being identified and will be implemented in the coming months [1]. Savings that fund price investment and volume would lift the earnings path the market discounts.

DECISION

Long candidate. We buy: the widest margin of our three (+31%), the only one above our 25% rule, and the comparables (USD 167.55) are above the price too. A defensive stock with dated news from management inside the challenge.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

PepsiCo is mature and pays out most of its earnings: USD 8.9bn of cash returns planned for 2026, of which USD 7.9bn in dividends [1]. Bloomberg's long-term growth of 3.4% is close to the long-run rate, so one stage is enough: the Gordon model with growth of 3.0%.

METHODS THAT DO NOT FIT

Two stages add little when g1 is this close to g2. P/B (8.65x) says little: the brands were built in-house and are not on the balance sheet, and leverage shrinks the equity. Coca-Cola sold its bottlers and has other margins, so the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 141.34	Close 06.11.26, not adjusted
D_0, dividend	USD 6.53	Dividends, 12 months + last FY buybacks per share
β	0.40	Override in the workbook
r_f, 10-year yield	4.84%	FRED DGS10, 05.11.26
ERP	4.46%	Damodaran, United States, 5 Jan 2026
$k = r_f + \beta$ ERP	6.62%	CAPM
g_1, first stage	not used	Gordon: one growth rate
T, years	not used	
g_2, terminal	3.0%	Long-run nominal growth, near the 3% organic growth of 2026 [1]; ours
Gordon value	**USD 185.72**	**+31% vs price**
Two-stage value	USD 187.82	+33% vs price

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
5.62%	183.91	214.39	256.49	318.41	418.45
6.12%	161.62	184.81	215.44	257.74	319.95
6.62%	144.14	162.41	**185.72**	216.49	258.98
7.12%	130.07	144.85	163.20	186.62	217.53
7.62%	118.51	130.71	145.55	163.99	187.52
Upside	+2%	+15%	+31%	+53%	+83%

Gordon DDM value, USD. Shaded: at or above the price of 141.34. Dark: base case. Upside at the base k.

The value stays above the price in 22 of 25 cases. It reaches the price only if k rises by about 1.1 points or growth falls to about 1.9%, the rate the price implies.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

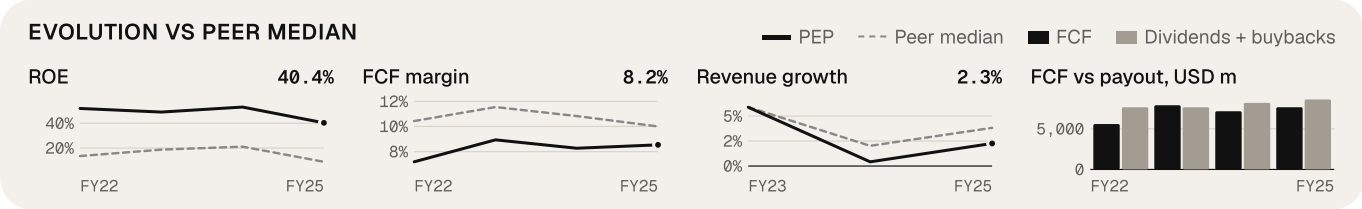
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
KO Coca-Cola	411.6	27.1x	77.7x	25.2x
KDP Keurig Dr Pepper	49.9	14.4x	33.5x	17.2x
MDLZ Mondelez	83.6	19.6x	25.8x	13.9x
MNST Monster Beverage	89.5	35.2x	46.1x	29.0x
GIS General Mills	19.0	11.3x	11.7x	9.4x
KHC Kraft Heinz	29.1	11.9x	8.0x	8.4x
Peer average		19.9x	33.8x	17.2x
Peer median		17.0x	29.7x	15.5x
PEP PepsiCo	**192.6**	**16.4x**	**25.1x**	**12.2x**
Implied price at peer average		172.19	190.29	211.77
Implied price at peer median		147.17	167.02	188.46

Comps value USD 167.55 (+19%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY25	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND	
Profitability	ROE	40.4%	8.8%	51.4%	better	worsening	
Profitability	ROA	7.7%	3.6%	9.4%	better	worsening	
Profitability	FCF margin	8.2%	10.0%	7.7%	worse	improving	
Growth	Revenue growth	2.3%	3.8%	3.1%	worse	worsening	**Red flag**
Growth	Gross margin	54.1%	43.9%	53.9%	better	improving	
Safety	Debt / equity	2.45	0.84	2.40	worse	worsening	**Red flag**
Payout	Payout / FCF	1.13	0.98	1.16	worse	improving	

Earnings test: adjusted EPS 8.14 (FY25) → 8.42 → 8.64 (forward): rising. Trailing GAAP EPS of 7.95 is close to the adjusted figure.



WATCH **Red flags or falling earnings, not both: watch, not a trap.** Watch: revenue grows slower than peers and debt is 2.4 times equity. Earnings are not falling: core EPS rose 2% in Q3 [1]. Dividends and buybacks exceeded FCF in FY25, so part of the payout is borrowed. **The business is sound; the payout is the point to watch.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+33.5%	2.18
Gap never closes	α never = $D_1 / P_0 + g - k$	+1.1%	0.07
Used: closes in 1 year	**Goes into Treynor-Black**	**+33.5%**	**2.18**

Two company events are due before the end of the year [1][2], so we assume the gap closes within a year (α closed). Analysts' target is near the price, so this alpha is an upper bound. IR 2.18, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

MAIN RISK: LEVERAGE AND THE PAYOUT

With dividends and buybacks at 1.13 times FCF and high debt, a further profit cut would put pressure on buybacks first. North American drinks volume fell 3% in Q3 [1]. If the cost plan slips, the market may keep pricing growth near 1.9%.

UPSIDE: AN ACTIVIST AND MANAGEMENT QUALITY

Elliott took a stake of about USD 4bn in 2025 [3]. The agreement brought a supply-chain review, nearly 20% fewer US products and board refreshment [2]. CEO Ramon Laguarta must now deliver the margin target, under activist scrutiny.

Model flags: *IR of 2.18 is above Buffett's 0.64: the alpha is probably too optimistic.*

[1] PepsiCo, Q3 2026 results, 8 Oct 2026. [2] PepsiCo, priorities to enhance shareholder value, 8 Dec 2025. [3] Reuters via Investing.com, PepsiCo to review supply chain amid Elliott talks, 8 Dec 2025. Market data: Yahoo Finance and FRED, downloaded 07.11.26.

AbbVie ABBV

NYSE · Healthcare · Drug Manufacturers - General · USD · Price date 06.11.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
355.43	291.31	+22.0%	+23.3%	514.9bn	2.6%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 1.03	USD	DO USD 7.47

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The two-stage DDM gives USD 355.43, against a price of USD 291.31. The price implies 3.1% dividend growth forever, although Skyrizi and Rinvoq grew 23–24% in Q3 [1]. GAAP EPS of 5.82 hides this: it carries charges for acquired research [1]. Consensus has adjusted EPS rising from 13.98 to 16.19.

MARGIN OF SAFETY AND ALPHA

Margin of safety +22.0%, alpha +23.3% a year (IR 1.03), assuming the gap closes within one year.

CATALYST

Medicare negotiated price for Botox · `By 30 Nov (CMS)`. Botox is in the third negotiation cycle, and CMS must publish the agreed prices by 30 Nov 2026 [4]. Botox had USD 1.1bn of Medicare spending [4]. A known price, effective in 2028, removes an overhang.

FDA decision on Rinvoq in vitiligo · `About 3 Dec (ours)`. Filed on 3 Feb 2026 [3]; a standard 10-month review points to early December. No date is published. It would be the first systemic treatment for vitiligo [3], supporting the growth in our first stage.

DECISION

Long candidate. We buy, although the margin of +22% is below our 25% rule and the comparables give USD 274.70. Growth has returned after Humira, the dividend rises 5.2% in 2027 [1], and the low β limits the risk the stock adds.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

AbbVie returns cash mainly through dividends, raised every year since 2013, with small buybacks. We use two stages because earnings are rebounding from the loss of Humira's patent, faster than they can grow forever: 15.8% for 2 years, then 3.0%.

METHODS THAT DO NOT FIT

Gordon alone gives USD 282.19: it misses the rebound. P/B and ROE are meaningless, as book equity is negative. GAAP P/E is distorted by charges for acquired research [1]. Peers such as Eli Lilly grow at other rates, so the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 291.31	Close 06.11.26, not adjusted
D_0, dividend	USD 7.47	Dividends, 12 months + last FY buybacks per share
β	0.20	60-month β on SPY
r_f, 10-year yield	4.84%	FRED DGS10, 05.11.26
ERP	4.46%	Damodaran, United States, 5 Jan 2026
$k = r_f + \beta$ ERP	5.73%	CAPM
g_1, first stage	15.8%	Consensus EPS growth for FY2027 (Yahoo)
T, years	2	Years of the post-Humira earnings rebound; ours
g_2, terminal	3.0%	Long-run nominal growth of the economy; ours
Gordon value	USD 282.19	−3% vs price
Two-stage value	**USD 355.43**	**+22% vs price; 95% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
4.73%	358.82	437.51	561.75	787.19	1,322.51
5.23%	303.07	357.12	435.43	559.08	783.45
5.73%	262.27	301.63	**355.43**	433.37	556.43
6.23%	231.13	261.04	300.21	353.75	431.33
6.73%	206.57	230.04	259.81	298.81	352.10
Upside	−10%	+4%	+22%	+49%	+91%

Two-stage DDM value, USD. Shaded: at or above the price of 291.31. Dark: base case. Upside at the base k.

The value stays above the price in 19 of 25 cases, but it falls to the price if k rises by 0.6 point or g2 falls by 0.6 point. With k − g2 at 2.7%, the value is fragile.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

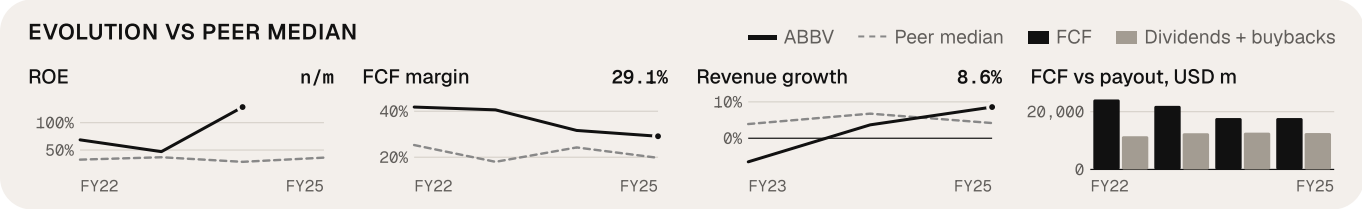
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
LLY Eli Lilly	1,206.1	26.9x	n/m	26.9x
JNJ Johnson & Johnson	664.9	23.8x	34.4x	20.1x
MRK Merck	361.7	16.3x	29.3x	13.8x
AMGN Amgen	249.0	18.4x	30.7x	16.4x
GILD Gilead Sciences	207.0	16.5x	21.9x	15.4x
PFE Pfizer	167.5	10.0x	18.5x	8.7x
Peer average		18.7x	27.0x	16.9x
Peer median		17.5x	29.3x	15.9x
ABBV AbbVie	**514.9**	**18.0x**	**28.9x**	**18.4x**
Implied price at peer average		301.94	271.72	264.11
Implied price at peer median		282.55	294.97	246.58

Comps value USD 274.70 (−6%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY25	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND	
Profitability	ROE	n/m	36.1%	81.4%	n/a	n/a	
Profitability	ROA	3.2%	13.4%	5.1%	worse	worsening	**Red flag**
Profitability	FCF margin	29.1%	19.8%	38.0%	better	worsening	
Growth	Revenue growth	8.6%	4.2%	−1.4%	better	improving	
Growth	Gross margin	70.2%	74.6%	67.5%	worse	improving	
Safety	Debt / equity	n/m	1.02	9.86	n/a	n/a	
Payout	Payout / FCF	0.71	1.01	0.59	better	worsening	

Earnings test: adjusted EPS 10.00 (FY25) → 13.98 → 16.19 (forward): rising. Trailing GAAP EPS of 5.82 includes one-off items.



WATCH **Red flags or falling earnings, not both: watch, not a trap.** Watch: ROA is below peers, as the Allergan purchase left large intangibles and acquired research is expensed. Cash tells a better story: the FCF margin beats peers and dividends and buybacks take 0.71 times FCF. Debt is USD 80.9bn against USD 10.8bn of cash [2]. **Earnings are recovering, not falling.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+23.3%	1.03
Gap never closes	α never = $D_1 / P_0 + g - k$	−0.1%	−0.00
Used: closes in 1 year	**Goes into Treynor-Black**	**+23.3%**	**1.03**

Two dated decisions fall inside the window [3][4], so we assume the gap closes within a year (α closed). The comparables give USD 274.70, below the price, so this alpha is an upper bound. IR 1.03, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

MAIN RISK: A LOW B AND A HIGH TERMINAL VALUE

The 60-month β of 0.20 gives k of 5.73%, so k − g2 is only 2.7% and the terminal value is 95% of the value. An adjusted β near 0.46 would put the value below the price. Humira sales fell 31% in Q3 [1].

UPSIDE: SUSTAINABLE GROWTH AND MANAGEMENT

Skyrizi and Rinvoq already replace Humira, and the 2026 EPS guide rose to USD 13.95–13.99 [1]. CEO Rob Michael, in charge since 2024, keeps raising the dividend while buying research. No activist route at this size.

Model flags: *DDM and comparables disagree (the TA's "mixed: check"); k − g2 is only 2.7%: the DDM is very sensitive to the inputs; IR of 1.03 is above Buffett's 0.64: the alpha is probably too optimistic.*

[1] AbbVie, Q3 2026 results, 30 Oct 2026. [2] AbbVie, Form 10-Q, Q3 2026. [3] AbbVie, Rinvoq vitiligo filings to FDA and EMA, 3 Feb 2026. [4] CMS, selected drugs for 2028 (third cycle), Jan 2026. Market data: Yahoo Finance and FRED, downloaded 07.11.26.

Treynor-Black and the new portfolio

IN THE STOCKS	EX-ANTE TE VS SAA	EX-ANTE VOLATILITY	1-MONTH 5% VAR
21.9%	**3.00%**	**8.48%**	**4.02%**
w_A^* 227.8%, capped at TE 3%	Budget 2–5%	SAA 8.40%	SAA 3.99%

TABLE 3 · TREYNOR-BLACK: THE STOCKS INSIDE THE ACTIVE PORTFOLIO A, 21.9% OF THE PORTFOLIO

STOCK	α, ANNUAL	$\sigma^2(\varepsilon)$	α / $\sigma^2(\varepsilon)$	IR	RAW, % OF A	ENTERED, % OF A	ENTERED, % OF THE PORTFOLIO
NVDA NVIDIA	+10.3%	0.1987	0.52	0.23	2.69%	2.69%	0.59%
PEP PepsiCo	+33.5%	0.0235	14.23	2.18	73.60%	73.60%	16.10%
ABBV AbbVie	+23.3%	0.0508	4.58	1.03	23.71%	23.71%	5.19%
Active portfolio A, total	–	–	–	–	**100.00%**	**100.00%**	**21.88%**
Active portfolio A	+30.4%	0.0157	–	2.43	–	–	–

Weights inside A ∝ α / σ²(ε) (Class 3 Part II): weight in the portfolio = weight in A × w_A. A negative weight is shown and flagged, never dropped or rescaled. Size of A: Treynor-Black w_A^* = 227.8% (eqs. 11–12). The SAA is the benchmark: TE = w_A × 13.71% (the TE of A against the SAA), so the 2% floor and our 3% target allow w_A from 14.59% to 21.88%; w_A = 21.88%. Sharpe Ratio of the SAA 0.30, 1.07 at w_A (2.44 at w_A^*, eq. 16).

3.1 · THE EXPECTED INFORMATION RATIO AND ITS CREDIBILITY

The active portfolio's IR is $\sqrt{\Sigma(\alpha_i/\sigma(\varepsilon_i))^2}$ = 2.43: at w_A = 21.9% it lifts the ex-ante Sharpe Ratio of the SAA from 0.30 to 1.07. We do not find it credible. By the Fundamental Law, IR = IC × $\sqrt{N}$: with N = 3 it needs an IC of 1.4, where 0.05–0.10 is good skill. Every alpha assumes the gap closes within a year, PEP and ABBV are above Buffett's 0.64, and only PEP clears our 25% margin of safety. That is why the TE budget, not w_A^* = 228%, sets the size.

TABLE 4 · PORTFOLIO DESCRIPTION, AS ENTERED IN BLOOMBERG PRTU

SECURITY	BLOOMBERG TICKER	CCY	SHARES	TRADE	PRICE	WEIGHT
Vanguard Total Stock Market ETF	VTI US Equity	USD	23,079	-6,070	361.93	8.51%
Vanguard FTSE Developed Markets ETF	VEA US Equity	USD	115,571	-31,798	67.90	8.00%
iShares Core MSCI Emerging Markets ETF	IEMG US Equity	USD	108,582	-24,738	72.20	7.99%
Vanguard Total Bond Market ETF	BND US Equity	USD	142,691	-45,534	71.59	10.41%
Vanguard Total International Bond ETF	BNDX US Equity	USD	265,376	-84,355	47.59	12.87%
iShares TIPS Bond ETF	TIP US Equity	USD	110,043	-34,559	106.27	11.92%
SPDR Gold Shares	GLD US Equity	USD	22,937	-6,240	372.52	8.71%
abrdn Bloomberg All Commodity Strategy K-1 Free ETF	BCI US Equity	USD	385,658	-83,600	24.64	9.69%
NVIDIA	NVDA US Equity	USD	3,091	+3,091	186.64	0.59%
PepsiCo	PEP US Equity	USD	111,774	+111,774	141.34	16.10%
AbbVie	ABBV US Equity	USD	17,472	+17,472	291.31	5.19%
Cash, rounding leftover (USD 8,526.09)		USD				0.01%
Total (USD 98,099,076)		**USD**				**100.00%**

Price date: close of 6 November 2026 for every position. Every ETF goes to (1 – w_A) = 78.12% of its SAA weight, so the SAA mix does not change; each stock to w_A × its weight in A. Whole shares, rounded down; the rest is cash. The weights add up to 100.00%. Ex-ante TE, volatility and VaR on the last 60 complete months (2021-11 – 2026-10).

The team

Luca Di Pietro	Analyst	Tommaso Rotondò	Analyst
Filippo Selmi	Analyst	Giulia Musi	Analyst
Elena Rocco	Analyst	Aaron Arauz	Analyst

Matterhorn Capital Management
Università della Svizzera italiana · Via Giuseppe Buffi 13, Lugano · team@matterhorn.capital

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